OFFERING MEMORANDUM

Dunmore Calloway Health Center | Boston, MA

Property	Dunmore Calloway Health Center
Location	5858 Centennial Way, Boston, MA 67666
Property Type	Medical Office
Size	173,988 SF
Year Built	1986
Offering	Unpriced - Offers Due February 16, 2018

Business Plan Progress

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Projected levered IRR is 4.6% with an equity multiple of 1.9x over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Submarket Analysis

Median household income within a 7-mile radius of the property is approximately $411,000 and has grown 9.4% annually. Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 9.6% population growth over the last five years. Market vacancy for comparable Medical Office product stands at 12.7%, down from 6.7% two years ago. Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 6.56% and 6.56%. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

The Boston Medical Office market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.0% annually over the past 8 years. Patient parking and ADA-compliant access are provided at a ratio of 18 spaces per 1,000 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Medical Office product stands at 5.8%, down from 4.3% two years ago.

Business Plan Progress

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 45 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The Boston Medical Office market has experienced absorption of 1200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Medical Office product stands at 8.2%, down from 7.5% two years ago. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 4.5% with an equity multiple of 1.13x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Projected levered IRR is 4.6% with an equity multiple of 1.6x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Market Overview

Dunmore Calloway Health Center is located in Boston, MA, a market that has recorded 13.8% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rent growth in the submarket has averaged 6.5% annually over the past 3 years.

Market vacancy for comparable Medical Office product stands at 12.7%, down from 5.6% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The Boston Medical Office market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 5 spaces per 1,000 square feet.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Patient parking and ADA-compliant access are provided at a ratio of 43 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Supply and Demand

Median household income within a 7-mile radius of the property is approximately $22,000 and has grown 12.8% annually. Rent growth in the submarket has averaged 7.3% annually over the past 9 years. The Boston Medical Office market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Investor demand for Medical Office assets in Boston remains strong with recent trades at capitalization rates between 7.68% and 7.68%. The Boston Medical Office market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 4-mile radius of the property is approximately $309,000 and has grown 5.0% annually.

Business Plan Progress

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 13.5% with an equity multiple of 1.23x over the hold period. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Crestline Medical Plaza	Norfolk, VA	12/04/2025	51	$36,012,207	$207	7.66%	1967
Riverbend Medical Plaza	Jacksonville, FL	04/06/2023	28	$98,538,010	$566	6.11%	1976
Thornton Medical Plaza	Baltimore, MD	09/06/2024	31	$78,170,741	$449	5.03%	1995
Jasper Medical Plaza	Indianapolis, IN	01/20/2024	35	$53,651,929	$308	5.03%	1993
Whitaker Health Center	Oklahoma City, OK	10/12/2024	50	$40,770,708	$234	7.22%	1983
Everett Medical Pavilion	Greenville, SC	05/30/2024	48	$31,684,697	$182	6.80%	1998
Pelican Medical Plaza	Grand Rapids, MI	03/15/2022	41	$73,814,761	$424	7.52%	1989
Timberline Medical Pavilio	Aurora, CO	06/25/2023	40	$33,936,463	$195	7.00%	1971
Kestrel Medical Plaza	Memphis, TN	03/09/2026	51	$90,731,948	$521	6.67%	1985
Upland Medical Pavilion	Albany, NY	01/08/2025	52	$37,399,978	$215	7.99%	2007
Stonebridge Medical Plaza	Baltimore, MD	09/08/2024	31	$28,853,446	$166	7.85%	2019
Union Health Center	Nashville, TN	04/16/2025	25	$69,190,121	$398	7.76%	1993
Fairmont Health Center	Kansas City, MO	07/11/2024	53	$30,024,874	$173	5.32%	2018
Whitaker Medical Plaza	Boston, MA	06/27/2026	51	$57,259,245	$329	6.19%	1968
Jasper Health Center	Tampa, FL	09/20/2025	24	$66,824,847	$384	5.08%	1981
Lakeshore Medical Plaza	Raleigh, NC	05/13/2026	53	$65,544,945	$377	5.49%	1993
Vista Medical Pavilion	Norfolk, VA	04/10/2023	47	$54,337,460	$312	6.73%	2019
Pinecrest Health Center	Boise, ID	02/08/2023	52	$83,204,379	$478	7.29%	1989
Timberline Medical Plaza	Houston, TX	01/23/2024	29	$50,991,753	$293	6.23%	1992
Riverbend Medical Plaza	Detroit, MI	02/02/2025	27	$45,137,376	$259	6.07%	1981
Osprey Health Center	Minneapolis, MN	08/10/2025	38	$49,463,209	$284	5.06%	1992
Harbor Medical Plaza	Raleigh, NC	06/12/2025	45	$43,270,631	$249	6.97%	1983
Cobalt Medical Plaza	Phoenix, AZ	05/29/2022	39	$41,794,918	$240	6.52%	2013
Harbor Medical Plaza	Indianapolis, IN	04/11/2022	44	$61,466,865	$353	5.65%	2021
Kingsley Medical Pavilion	Atlanta, GA	05/25/2026	49	$45,328,684	$261	7.28%	1970
Garnet Health Center	Tampa, FL	11/27/2025	46	$36,153,439	$208	5.12%	2001
Meridian Health Center	Chicago, IL	05/16/2025	43	$40,571,768	$233	7.08%	2003
Ashford Medical Pavilion	Tempe, AZ	03/31/2026	34	$57,839,319	$332	6.61%	1976
Keystone Medical Plaza	Milwaukee, WI	03/06/2026	32	$69,873,839	$402	6.84%	1973
Summit Medical Plaza	Denver, CO	05/28/2022	33	$30,826,590	$177	5.69%	1994
Calloway Health Center	Houston, TX	06/30/2025	36	$45,262,668	$260	6.43%	1977
Parkview Health Center	Indianapolis, IN	11/03/2025	18	$97,070,584	$558	7.31%	2006
Jasper Health Center	Memphis, TN	12/10/2022	42	$96,026,232	$552	6.32%	2023
Lantern Medical Plaza	Aurora, CO	05/03/2025	39	$42,353,123	$243	5.49%	1995
Alder Medical Pavilion	Tampa, FL	02/27/2026	39	$29,048,251	$167	7.37%	1999
Aspen Medical Plaza	Indianapolis, IN	06/15/2024	42	$100,003,665	$575	5.30%	2015
Palisade Medical Pavilion	Albuquerque, NM	08/09/2024	22	$58,707,061	$337	6.46%	2001
Marlow Medical Pavilion	Buffalo, NY	02/12/2024	38	$90,298,910	$519	6.03%	1996
Highland Medical Plaza	Atlanta, GA	03/31/2026	46	$76,532,827	$440	7.02%	2011
Quarry Medical Pavilion	Denver, CO	05/13/2022	33	$41,934,396	$241	8.20%	2019
Prairie Health Center	Pittsburgh, PA	06/09/2023	42	$75,314,874	$433	6.97%	2019
Indigo Medical Pavilion	Naperville, IL	01/05/2024	21	$49,735,377	$286	5.21%	2008

Report generated 02/16/2018. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Building Systems

Patient parking and ADA-compliant access are provided at a ratio of 32 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Mechanical systems include rooftop package units and central plant equipment of varying age. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The roof is a 47-year membrane system with an estimated remaining useful life of 10 years. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $74,000, representing a 12.1% increase over the prior year. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 6.40% reflects the in-place income and the stabilized occupancy assumption. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet.

Building Systems

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 10-year membrane system with an estimated remaining useful life of 4 years.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Patient parking and ADA-compliant access are provided at a ratio of 32 spaces per 1,000 square feet. Dunmore Calloway Health Center was originally constructed in 1986 and consists of 173,988 SF in a building of 4 stories.

Financial Analysis

Debt service coverage ratio was 6.08x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.90% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $43,000 or approximately 34.01 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $291,000, representing a 13.5% increase over the prior year. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Patient parking and ADA-compliant access are provided at a ratio of 48 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $274,000, representing a 5.7% increase over the prior year.

Improvements Description

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Dunmore Calloway Health Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only